

Breakout direction. By definition, a V-top has a downward breakout. If price does not break out downward, then you don't have a V-top. If price *closes* above the top of the V (before dropping below the 38% retrace), then that's a failure.

Table 71.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	705 or 29%	223 or 14%
10	426 or 47%	176 or 26%
15	327 or 60%	191 or 38%
20	253 or 71%	157 or 48%
25	212 or 80%	156 or 58%
30	143 or 86%	150 or 68%
35	124 or 91%	119 or 75%
50	168 or 98%	259 or 92%
75	57 or 100%	124 or 100%
Over 75	1 or 100%	4 or 100%